higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

APPLIED ACCOUNTING

(First Paper)

NQF LEVEL 4

(3011004)

26 February 2019 (Y-Paper)
13:00–16:00

A nonprogrammable calculator may be used.

This question paper consists of 12 pages and an answer book of 13 pages.

NCV

TIME: 3 HOURS
MARKS: 200

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions in the ANSWER BOOK provided.
2. Read ALL the questions carefully.
3. Show ALL your calculations.
4. No pages may be removed from the ANSWER BOOK.
5. Use the table below to guide you on how much time to spend answering each question.
6. Write neatly and legibly.

QUESTIONS	TOPICS	MARKS	RECOMMENDED TIME GUIDE
SECTION A			
1	Short questions	30	27 minutes
2	Calculations	30	27 minutes
SECTION B			
3	Adjustments	40	36 minutes
4	Profit and loss calculations	30	27 minutes
5	Financial statements	50	45 minutes
6	Influence on accounting equation	20	18 minutes
		200	**180 minutes**

Copyright reserved

SECTION A

QUESTION 1

1.1 Choose a description from COLUMN B that matches an item/a term in COLUMN A. Write only the letter (A–G) next to the question number (1.1.1–1.1.5) in the ANSWER BOOK.

COLUMN A		COLUMN B	
1.1.1	Income received in advance	A	items such as stationery bought during the year, but not used at the end of the financial year
1.1.2	Bad debts recovered	B	income which is only meant for the next financial period but received in the current financial year
1.1.3	Accrued income	C	created at the end of the year for possible bad debts that could be written off
1.1.4	Consumable stores on hand	D	the difference between the closing balance of trading stock and the value of the physical stocktaking
1.1.5	Trading stock deficit	E	receipt of an amount on a debtors account, partially or in full, previously written off
		F	that part of outstanding balances of debtors that cannot be collected
		G	income earned during the year but not yet received by the end of the financial year

(5 × 1) (5)

1.2 Various options are provided as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.2.1–1.2.5) in the ANSWER BOOK.

1.2.1 The expense accounts are closed off to the … account at the end of the financial year.

A sales
B capital
C trading
D profit and loss

NCV

1.2.2 An adjustment for packing material on hand will be recorded in the … journal.

A cash payments
B debtors
C cash receipts
D general

1.2.3 The financial statement that is used to determine the financial position of a business is the …

A income statement.
B balance sheet.
C cash flow.
D trial balance.

1.2.4 The journal entry to record the closing-off of the cost of sales account is debit …

A trading account and credit cost of sales.
B cost of sales and credit trading stock.
C cost of sales and credit trading account.
D trading stock and credit cost of sales.

1.2.5 Rates and taxes that are due in the current financial period but have not yet been paid are referred to as a/an … .

A current asset.
B accrued expense.
C prepaid expense.
D income received in advance.

(5 × 1) (5)

1.3 Zakhele Thwala is the owner of Unique Designs. He requested you to do the calculations below by using the following information. Round off the answers to the nearest whole.

Sales	625 000
Debtors allowance	3 600
Electricity	28 400
Advertising	12 200
Rent received	26 000
Fuel	3 100
Wages	62 400

NCV

1.3.1 Cost of sales (mark-up is 125% on cost) (4)

1.3.2 Gross profit (3)

1.3.3 Net profit (6)

1.3.4 Why is the Income Statement a very useful tool for business owners? Give TWO reasons. (2)

1.3.5 Give ONE possible reason why the gross profit is much more than the net profit in a business. (1)

1.3.6 Briefly differentiate between *bad debts* and *provision for bad debts*. (4)
[30]

QUESTION 2

2.1 The following opening balances appeared in the books of Rosh Designs on 31 December 2018:

Equipment	R 210 000
Accumulated depreciation on equipment	R 26 200

ADDITIONAL INFORMATION

- Depreciation is calculated at 10% per annum on the diminishing balance method.
- New equipment was purchased for cash from Value City for R30 000 on 31 August 2018. This entry has not yet been recorded.

2.1.1 Calculate the depreciation on the equipment that will be recorded in the Income Statement on 31 December 2018, the last day of the financial year. (7)

2.1.2 Calculate the amount of accumulated depreciation that will be recorded in the notes to the Balance Sheet. (3)

2.1.3 Journalise the purchase of the new asset. No narrations are required. (3)

2.1.4 Complete and balance the General Ledger account for equipment. (4)

2.1.5 Calculate the book/carrying value of the equipment on December 2018. (3)

Copyright reserved

2.2 The following information was extracted from the records of MNM Hardware on 30 June 2018, the last day of its financial year:

Loan: Belly Bank (12%)	R225 000
Investment: Piggy Bank (9%)	R145 500
Interest on loan	R12 880
Interest on investment	R10 350

ADDITIONAL INFORMATION

- The loan from Belly Bank was taken out on 31 December 2017.
- The interest rate changed from 12% to 14% on 1 June 2018.

2.2.1 Calculate the interest on the loan that will appear in the Income Statement on 30 June 2018. (7)

2.2.2 What amount will appear in the notes to the Balance Sheet on 30 June 2018, under the trade and payables for interest on the loan? (1)

2.2.3 How would your answer obtained in 2.2.2, effect the accounting equation? (2)

[30]

TOTAL SECTION A: 60

NCNA

SECTION B

QUESTION 3

The following Preadjustment Trial Balance was extracted from the records of Cell Zone on 30 June 2018, the last day of the financial year.

PREADJUSTMENT TRIAL BALANCE OF CELL ZONE ON 30 JUNE 2018

	FOL	DEBIT		CREDIT	
BALANCE SHEET ACCOUNTS SECTION					
Capital (1 July 2017)	B1			520 000	00
Drawings	B2	62 454	00		
Equipment	B3	125 100	00		
Accumulated depreciation on equipment	B4			42 500	00
Vehicles	B5	302 440	00		
Accumulated depreciation on vehicles	B6			125 100	00
Trading stock	B7	186 500	00		
Bank	B8	45 000	00		
Cash float	B9	2 500	00		
Petty cash	B10	1 000	00		
Debtors control	B11	65 478	00		
Creditors control	B12			98 260	00
Provision for bad debts	B13			1 540	00
Fixed deposit: Star Bank (13%)	B14	150 000	00		
Loan: Smurf Bank (15%)	B15			125 000	00
NOMINAL ACCOUNTS SECTION					
Sales	N1			870 000	00
Cost of sales	N2	420 000	00		
Debtors allowances	N3	3 200	00		
Subscriptions (DSTV)	N4	9 300	00		
Salaries and wages	N5	245 000	00		
Interest on loan	N6	5 740	00		
Water and electricity	N7	74 020	00		
Bad debts	N8	2 450	00		
Interest received	N9			17 500	00
Computer expenses	N10	10 888	00		
Rent expense	N11	70 000	00		
Telephone	N12	6 580	00		
Packing material	N13	4 400	00		
Printing and stationery	N14	7 850	00		
		1 799 900	00	1 799 900	00

Copyright reserved

ADJUSTMENTS

1. The salary of the IT manager, Shamini Govender, was erroneously posted to the computer expense account, R10 000. Correct the error.

2. Adjust the interest on the loan. The loan was taken out on 1 August 2017.

3. A physical stocktaking on 30 June 2018 revealed the following on hand:

   - Trading stock R185 000
   - Packing material R400

4. Depreciation on vehicles and equipment is provided for as follows:

   4.1 Vehicles at 15% per annum on the diminishing balance method

   4.2 Equipment at 20% per annum on the straight-line method. Take into account a new office desk was purchased for R11 000 on 30 November 2017. This entry has already been recorded in the books of the business. Round off your answer to the nearest whole.

5. A debtor, C. Moloi, who owes the business R2 200, is declared insolvent. Twenty-five percent of the debt was received from his estate. The balance must be written off as irrecoverable. No entry was recorded with regard to these transactions.

6. Adjust the provision for bad debts to 5% of debtors. Round off your answer to the nearest rand.

7. The business' DSTV subscription for May and June 2018 are outstanding.

8. The owner, S. Shabangu, withdrew R300 from the business bank account for fuel for his personal vehicle.

9. Rent for the business property was paid for two months in advance.

10. Received R450 from a debtor, J. Sooknanan, whose account was previously written off as a bad debt.

REQUIRED

Record the adjustments in the general journal on 30 June 2018. Narrations are NOT required.

[40]

Copyright reserved

QUESTION 4

The following Post-Adjustment Trial Balance appeared in the books of Polka Dot Enterprises on 31 October 2018, the last day of the financial year.

POST-ADJUSTMENT TRIAL BALANCE OF POLKA DOT ENTERPRISES ON 31 OCTOBER 2018

	FOL	DEBIT		CREDIT	
BALANCE SHEET ACCOUNTS SECTION					
Capital (1 November 2017)	B1			300 000	00
Drawings	B2	11 500	00		
Land and buildings	B3	196 500	00		
Vehicles	B4	268 000	00		
Accumulated depreciation on vehicles	B5			98 200	00
Trading stock	B6	41 500	00		
Bank	B7	17 900	00		
Petty cash	B8	1 500	00		
Debtors control	B9	35 660	00		
Creditors control	B10			46 500	00
Accrued income	B11	2 300	00		
Prepaid expense	B12	4 500	00		
Income received in advance (Rent)	B13			4 000	00
Accrued expense	B14			5 500	00
Loan: Piglet Bank (12%)	B15			13 500	00
NOMINAL ACCOUNTS SECTION					
Sales	N1			569 580	00
Cost of sales	N2	205 010	00		
Debtors allowances	N3	3 640	00		
Rent income	N4			52 000	00
Salaries and wages	N5	198 500	00		
Interest received	N6			4 600	00
Rates and taxes	N7	19 801	00		
Staff training	N8	11 570	00		
Discount allowed	N9	2 530	00		
Bad debts	N10	4 050	00		
Telephone	N11	1 890	00		
Sundry expenses	N12	14 504	00		
Trading stock deficit	N13	2 086	00		
Depreciation	N14	50 939	00		
		1 093 880	00	1 093 880	00

Copyright reserved

REQUIRED

Open the following accounts in the General Ledger of Polka Dot Enterprises and post the closing transfers to them. Balance/Close off all these accounts on 31 October 2018.

4.1	Income received in advance	(3)
4.2	Rent income	(7)
4.3	Trading account	(5)
4.4	Profit and loss account	(15)
		[30]

QUESTION 5

Use the information that was extracted from the books of The Spice Shop on 28 February 2018, its financial year end, to prepare the following:

5.1	Income Statement for the year ended on 28 February 2018.	(26)
5.2	Balance Sheet as at 28 February 2018. Show ONLY the notes required in the ANSWER BOOK. NOTE: Where applicable, show all workings in brackets.	(24)

ADJUSTMENTS

1. Depreciation on equipment and vehicles is provided for as follows:

   - Equipment at 10% per annum on the diminishing balance method
   - Vehicles at 12% per annum on the cost price method

2. Included in the insurance amount is an annual insurance premium of R6 000 which was paid on 1 May 2017. This policy was taken out two years ago.

3. Write off the debt of S. Malinga, a debtor, as irrecoverable, R450.

4. Create the provision for bad debts to 5% of debtors (round off your answer to the nearest whole).

5. A physical stocktaking on 28 February 2018 revealed the following on hand:

   - Trading stock R164 000
   - Consumable goods R875

6. Rent was received up until 31 March 2018. There was an annual increase of R500 per month on rent as from 1 March 2018.

7. Adjust the interest on the fixed deposit. The deposit was made on 1 May 2016.

Copyright reserved

PREADJUSTMENT TRIAL BALANCE OF THE SPICE SHOP ON 28 FEBRUARY 2018

	FOL	DEBIT		CREDIT	
BALANCE SHEET ACCOUNTS SECTION					
Capital (1 March 2017)	B1			1 650 000	00
Drawings	B2	200 000	00		
Land and buildings	B3	400 000	00		
Equipment	B4	189 000	00		
Accumulated depreciation on equipment	B5			32 500	00
Vehicles	B6	568 000	00		
Accumulated depreciation on vehicles	B7			128 500	00
Fixed deposit: Goldie Bank (11%)	B8	150 000	00		
Trading stock	B9	165 800	00		
Bank	B10	150 510	00		
Cash float	B11	2 000	00		
Petty cash	B12	3 000	00		
Debtors control	B13	98 504	00		
Creditors control	B14			54 869	00
NOMINAL ACCOUNTS SECTION					
Sales	N1			552 400	00
Cost of sales	N2	185 700	00		
Debtors allowances	N3	5 700	00		
Insurance	N4	26 135	00		
Salaries and wages	N5	205 560	00		
Interest received	N6			15 600	00
Rent income	N7			72 000	00
Subscriptions	N8	8 500	00		
Advertising	N9	35 800	00		
Telephone	N10	19 850	00		
Bad debts	N11	4 580	00		
Stationery	N12	9 645	00		
Sundry expenses	N13	48 505	00		
Property maintenance	N14	36 850	00		
Consumable goods	N15	1 500	00		
Discount received	N16			9 270	00
		2 515 139	00	2 515 139	00

[50]

Copyright reserved

QUESTION 6

Analyse the transactions from the books of Dube Electrical Supplies Services on 31 January 2018, the last day of its financial year.

Show the account to be debited and the account to be credited in the General Ledger. Show the effects on the elements of the accounting equation. Show an increase with **+**, and a decrease with **–** and no effect with **0**.

Use the table in the ANSWER BOOK to analyse the transactions.

EXAMPLE

Paid Golden Properties for rent by cheque, R14 500.

Number	GENERAL LEDGER		Effect on the accounting equation		
	Account debited	**Account credited**	**Assets**	**Owner's equity**	**Liabilities**
Example	*Rent*	*Bank*	*-14 500*	*-14 500*	*0*

REQUIRED

6.1 Stationery not used on 31 January 2018 amounted to R1 650.

6.2 An amount of R12 000 for commission earned has not yet been received.

6.3 Depreciation on office equipment amounted to R12 650 for the year. This amount was incorrectly posted to the accumulated depreciation on vehicles account. Correct the error.

6.4 A cheque of R420 000 was issued to D & S Autolot for a vehicle for the owner's personal use. This transaction was incorrectly posted to the vehicles account. Correct the error.

6.5 The balance on the drawings account (after all adjustments) at the end of the financial year is R525 000. Close off the drawings account.

(5 × 4) **[20]**

TOTAL SECTION B: 140
GRAND TOTAL: 200

Copyright reserved

EXAMINATION NUMBER: | | | | | | | | | | | | | |

CENTRE NUMBER: | | | | | | | | | | | |

APPLIED ACCOUNTING L4

(First Paper)

26 FEBRUARY 2019

ANSWER BOOK

QUESTIONS	TOPICS	MARKS	MARK ACHIEVED
SECTION A			
1	Short questions	30	
2	Calculations	30	
SECTION B			
3	Adjustments	40	
4	Profit and loss calculations	30	
5	Financial statements	50	
6	Influence on accounting equation	20	
	TOTAL	200	

PERCENTAGE ACHIEVED:

This answer book consists of 13 pages.

Copyright reserved

SECTION A

QUESTION 1

1.1 1.1.1 _____

1.1.2 _____

1.1.3 _____

1.1.4 _____

1.1.5 _____ (5 × 1) (5)

1.2 1.2.1 _____

1.2.2 _____

1.2.3 _____

1.2.4 _____

1.2.5 _____ (5 × 1) (5)

1.3 1.3.1 _____

_____

_____ (4)

1.3.2 _____

_____

_____ (3)

1.3.3 _____

_____

_____

_____

_____

_____ (6)

NCV

1.3.4

(2)

1.3.5

(1)

1.3.6

(4)
[30]

QUESTION 2

2.1 2.1.1

(7)

2.1.2 _____

_____ (3)

2.1.3

DETAILS	FOL	DEBIT	CREDIT

(3)

2.1.4 **EQUIPMENT** **B5**

Date	Detail	Fol	Amount		Date	Detail	Fol	Amount	

(4)

2.1.5 _____

_____

_____

_____ (3)

NCW

2.2 2.2.1 _____

_____

_____

_____

_____

_____

_____

_____

_____

_____

_____

_____

_____ (7)

2.2.2 _____

_____

_____

_____ (1)

2.2.3 **ASSETS :** _____

OWNER'S EQUITY:_____

LIABILITIES: _____ (2)

[30]

TOTAL SECTION A: 60

NCM

SECTION B

QUESTION 3

GENERAL JOURNAL OF CELL ZONE – 30 JUNE 2018 **GJ1**

Day	Details	Debit	Credit	Debtors Control		Creditors Control	
				Debit	Credit	Debit	Credit

Copyright reserved

Day	Details	Debit	Credit	Debtors Control		Creditors Control	
				Debit	Credit	Debit	Credit

[40]

Copyright reserved

QUESTION 4

GENERAL LEDGER OF POLKA DOT ENTERPRISES

DR CR

INCOME RECEIVED IN ADVANCE B13

Date	Details	Fol	Amount		Date	Details	Fol	Amount	

(3)

RENT INCOME N4

(7)

TRADING ACCOUNT

(5)

NCV

GENERAL LEDGER OF POLKA DOT ENTERPRISES

DR CR

PROFIT AND LOSS ACCOUNT

Date	Details	Fol	Amount	Date	Details	Fol	Amount

(15)
[30]

NCM

QUESTION 5

5.1 **INCOME STATEMENT OF THE SPICE SHOP FOR THE YEAR ENDING 28 FEBRUARY 2018**

(26)

NCV

5.2 **BALANCE SHEET OF THE SPICE SHOP AT 28 FEBRUARY 2018**

(11)

NCV

NOTES TO THE BALANCE SHEET

1. Noncurrent assets	Cost price	Accumulated depreciation	Net carrying amount

(5)

2. Trade and other receivables		

(5)

3. Capital		

(3)
[50]

NCV

QUESTION 6

No	GENERAL LEDGER		Assets	Owner's equity	Liabilities
	Account debit	Account credit			
E.g.	*Rent*	*Bank*	*- 14 500*	*- 14 500*	*0*
6.1					
6.2					
6.3					
6.4					
6.5					

[20]

TOTAL SECTION B: 140
GRAND TOTAL: 200

Copyright reserved